

Beginner Track: Market Fundamentals

Introduction

This guide covers the essential material for the Beginner assessment on the Learning Hub. Topics are explained in detail to help you understand why these concepts matter for investors within the Kenyan market specifically. Note that facts specific to the Nairobi Securities Exchange, such as account-opening requirements, can change as the exchange updates its rules. Always confirm current details with a licensed broker.

1.1 What Is a Stock or Share?

A stock, also called a share, is a unit of ownership in a company. Buying a share of a company listed on the Nairobi Securities Exchange makes an investor a shareholder, holding a small proportional claim on that company's assets and future profits. This differs from lending money, where the lender receives a fixed repayment and holds no ownership stake in the business.

Owning shares brings three main benefits:

- **Dividend income:** A share of company profit paid out periodically.
- **Capital appreciation:** The share price can rise as the company grows, allowing an investor to sell later at a profit.
- **Voting rights:** Shareholders gain a say in decisions at the annual general meeting, such as electing directors.

Ownership carries risk alongside these benefits. A share carries no guaranteed return. Its value moves with company performance and the wider market, meaning a shareholder can lose capital if the company performs poorly.

1.2 The Role of the Nairobi Securities Exchange

The Nairobi Securities Exchange (NSE) is the primary securities exchange in Kenya. Its core function is to provide a regulated platform where investors buy and sell shares, bonds, and other securities in an orderly and transparent way. Prices form through the interaction of buy and sell orders submitted by investors through licensed stockbrokers.

The NSE lets companies raise capital by listing shares to the public. It maintains a continuous public record of share prices and operates market indices, including the NSE 20 Share Index and the NSE All Share Index (NASI), which track groups of listed companies and serve as performance benchmarks. The NSE operates under the oversight of the Capital Markets Authority (CMA).

1.3 Opening a CDS Account

Before placing a trade on the NSE, an investor must open a Central Depository System (CDS) account. Shares are recorded electronically, and a CDS account serves as the digital record of every security an investor holds.

The CDS system is operated by the Central Depository and Settlement Corporation (CDSC). An investor opens a CDS account through a Central Depository Agent (CDA), which can be a licensed stockbroker or an investment bank. Opening an account typically requires a national identification document, a KRA PIN certificate, a recent passport-size photograph, and a completed CDS1 form. CDSC also offers a digital route through its Dosikaa platform for online registration.

1.4 Understanding Dividends

A dividend is a portion of a company's profit distributed to its shareholders. When a listed company earns a profit, its board of directors proposes how much to retain for reinvestment and how much to pass on to shareholders.

Dividends usually take one of two forms:

- **Cash dividend:** Pays a fixed amount per share directly to the shareholder.
- **Bonus or scrip dividend:** Issues additional shares to existing shareholders.

Dividend payments depend entirely on company performance and board policy. A profitable company may withhold dividends to fund expansion, while a company with weaker earnings may reduce its dividend.

1.5 Stocks Versus Bonds

Stocks and bonds represent the two most common ways to invest capital. Buying a stock makes an investor a part-owner of the issuing company. Returns depend on company performance, with no promised repayment of the invested amount.

Buying a bond makes an investor a lender to the issuer. The issuer pays periodic interest, called a coupon, and repays the original amount, called the principal, at an agreed maturity date. Bond payments follow a fixed schedule regardless of how profitable the issuer becomes, making them more predictable than shares.

Beginner Glossary

- **Board Lot:** The standard minimum trading unit for a listed share, typically 100 shares for most counters on the NSE.
- **Capital Markets Authority (CMA):** The Kenyan government body responsible for regulating and supervising the capital markets.
- **Central Depository and Settlement Corporation (CDSC):** The company licensed by the CMA to provide clearing, settlement, and depository services.